Dr. **Revaluation Account** **Cr.**

Particulars	₹	Particulars		₹
To Furniture A/c	8,500	By Building A/c		12,000
To Outstanding salary A/c	6,500	By Loss on revaluation transferred to		
		Prabu's capital A/c (3/6)	1,500	
		Ragu's capital A/c (2/6)	1,000	
		Siva's capital A/c (1/6)	500	**3,000**
	15,000			15,000

Illustration 6

John, James and Raja are partners in a firm sharing profits and losses equally. Their balance sheet as on 31st March, 2019 is as follows:

Liabilities		₹	Assets		₹
Capital accounts:			Office equipment		70,000
John	80,000		Machinery		1,40,000
James	60,000		Sundry debtors	52,000	
Raja	1,00,000	2,40,000	Less: Provision for		
Sundry creditors		1,20,000	doubtful debts	2,000	50,000
			Stock		60,000
			Cash at bank		40,000
		3,60,000			3,60,000

Raja retired on 31st March, 2019 subject to the following conditions:

(i) Machinery is valued at ₹ 1,30,000

(ii) Value of office equipment is brought down by ₹ 2,000

(iii) Provision for doubtful debts should be increased to ₹ 3,000

(iv) Investment of ₹ 25,000 not recorded in the books is to be recorded now

Pass necessary journal entries and prepare revaluation account.

Solution

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2019	Revaluation A/c	Dr.		13,000	
March 31	To Machinery A/c				10,000
	To Office equipment A/c				2,000
	To Provision for doubtful debts A/c				1,000
	(Depreciation on machinery and furniture and provision made for doubtful debts adjusted)				

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